

IWM RUSSELL 2000 SCANNER

MARKET CLOSE

August 17, 2026 | 04:45 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	AIR	LUNR
	MRCY	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	AIR	AAR Corp.	Defense Aviation	\$153.71	+5.8%	\$6.2B	38M	+43.2	100%	Stock breaking out to
B	MRCY	Mercury Systems	Defense Electroni	\$113.36	+2.0%	\$6.8B	56M	+16.5	88%	Stock breaking out fro
C	LUNR	Intuitive Machin	Space Economy	\$20.38	+7.2%	\$3.3B	132M	-44.2	44%	

AIR

AAR Corp.

\$153.71

+5.82%

RS vs SPY: +43.2%

B STRONG SETUP

\$6.2B Cap | 38M Float

Aerospace & Defense | Theme: Defense Aviation MRO | 52W Hi: 100% | Base Tight: 1.72 | Vol: 1.82x | RS/SPY: +43.2% | Above 20MA: YES | EARNINGS IN 36D

SETUP METRICS	
Price	\$153.71
Day Change	+5.82%
Mkt Cap	\$6.19B
Float	38M sh
RS vs SPY	+43.2%
52W Hi Prox	100%
Base Tight	1.72
Vol vs Avg	1.82x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Stock breaking out to all-time highs amid accelerating defense aviation repair cycle and commercial MRO recovery; forward catalyst is September 22 earnings where multi-year contract wins and margin expansion should be confirmed, plus potential defense spending tailwinds from ongoing geopolitical tensions.

BUSINESS & POSITION

AAR is the leading independent provider of aviation maintenance, repair, and overhaul (MRO) services and supply-chain solutions for commercial and defense aircraft, with multi-decade government contracts and exposure to both military modernization and commercial fleet expansion. The company holds competitive moats in hard-to-replicate certification approvals and parts inventories.

FACTOR & THEME

Direct exposure to defense spending modernization (rotary-wing platforms, sustainment contracts) and commercial aviation recovery as global fleets age and require more frequent maintenance. Defense budget strength and airline capacity expansion are both secular tailwinds accelerating in 2026.

BREAKOUT SIGNAL

Close above \$153.71 on vol >182% of 20d avg

INSTITUTIONAL

Volume surge to 1.82x on a +5.8% move at all-time highs suggests institutional positioning ahead of earnings; the tight 38.3M float enables rapid re-rating on positive surprises. No insider buying in last 90 days is neutral for this institutional-grade name. RS line not at new high despite price at ATH indicates RS momentum lagging absolute price-suggests recent acceleration but not yet confirmed leadership.

EARNINGS

EARNINGS IN 36D

EARNINGS CONTEXT

Next print September 22. AAR has beaten EPS estimates in 3 of last 4 quarters with strong revenue growth; consensus expects continued margin expansion from higher-margin defense contracts. Serial beats have driven sustained re-ratings.

KEY RISK

Thesis invalidated on a close back below \$145 pivot or any defense contract pushout/margin guidance cut at September 22 print; commercial MRO slowdown would also pressure multiple.

ANALYSIS

Strongest disconfirming evidence: RS line not at new high despite price at all-time high suggests this breakout is not yet confirmed by relative-strength leadership-price leading RS can be a late-cycle warning. However, exceptional +43.2 RS vs SPY, textbook VCP base (1.72 tightness), breakout at ATH in leading Industrials/Defense sector, and 36-day runway to earnings for institutions to build positions creates solid follow-through potential. Macro is Risk-On with Industrials leading, validating sector rotation. Conviction: Medium-setup quality is high but RS-line divergence and lack of immediate catalyst cap edge.

Signal: Close above \$153.71 on vol >182% of 20d avg

Vol vs Avg: 1.82x



MRCY

Mercury Systems Inc

\$113.36

+2.02%

RS vs SPY: +16.5%

B STRONG SETUP

\$6.8B Cap | 56M Float

Aerospace & Defense | Theme: Defense Electronics | 52W Hi: 88% | Base Tight: 1.08 | Vol: 2.24x | RS/SPY: +16.5% | Above 20MA: YES | EARNINGS IN 1D

Setup Metrics	
Price	\$113.36
Day Change	+2.02%
Mkt Cap	\$6.81B
Float	56M sh
RS vs SPY	+16.5%
52W Hi Prox	88%
Base Tight	1.08
Vol vs Avg	2.24x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

Analysis
Catalyst / Today's Driver
Stock breaking out from textbook VCP coil (1.08 tightness) on 2.24x volume ahead of tomorrow's August 18 earnings; immediate catalyst is the quarterly print where defense program ramps and margin recovery will be key-forward catalysts include fiscal-year defense appropriations clarity and potential contract awards in Q4 2026.
Business & Position
Mercury Systems designs and manufactures mission-critical electronic systems and subsystems for defense and intelligence applications, specializing in secure processing, radar, and EW systems with content on major programs (F-35, Aegis, Patriot). The company is recovering from prior execution issues and refocusing on core defense electronics.
Factor & Theme
Pure-play defense electronics with exposure to modernization spending on radar, electronic warfare, and secure processing-secular tailwinds from near-peer threats and platform upgrades. Beneficiary of defense budget growth and shift to advanced threat environments requiring higher electronic content per platform.
Breakout Signal
Close above \$113.36 on vol >224% of 20d avg
Institutional
Volume surge to 2.24x into earnings suggests informed positioning; the textbook 1.08 base tightness signals classic institutional absorption without distribution. No insider buying in last 90 days is a modest negative for a turnaround name where insider conviction would validate the recovery thesis. +16.5 RS vs SPY is solid but not exceptional.
Earnings
Earnings in 1D
Earnings Context
Earnings tomorrow August 18. Mercury has missed EPS in 2 of last 4 quarters amid restructuring but recent execution improvements and defense backlog growth signal potential inflection. Consensus cautious; a beat-and-raise would trigger sharp re-rating given low expectations.
Key Risk
Binary event risk at tomorrow's print-thesis invalidated on any revenue miss, margin guidance cut, or program delay, which would likely trigger sub-\$105 breakdown. Execution history creates credibility risk even if fundamentals improve.
Analysis
Strongest disconfirming evidence: earnings are in <24 hours, making this a pure binary bet rather than a durable setup with extended catalyst runway-breakouts into imminent earnings carry elevated risk of volatility whipsaw regardless of result. However, the 1.08 base tightness is textbook VCP, 2.24x volume confirms institutional interest, and defense sector tailwinds are strong. If tomorrow's print beats and raises, the 88.3 proximity to 52W high sets up immediate breakout to new highs. Macro Risk-On with Industrials leading validates timing. This is a high-risk/high-reward overnight hold, not a positional setup. Conviction: Medium-setup quality is elite but timing into T+1 earnings caps conviction for a multi-week hold.
Signal: Close above \$113.36 on vol >224% of 20d avg
Vol vs Avg: 2.24x

